



JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

SECTION 1: IDENTIFICATION OF THE AGENCY AND THE CONTRACTING ACTIVITY

Department of State Contracting Activity	☒ Bureau of Global Acquisitions, GA/AM/TSS/SVC/TL
Requiring Activity	PCS Lodging Program, A/GO/PST/PCS

SECTION 2: NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED

Approval is requested to extend the period of performance and increase the ceiling on the task orders below that support the PCS lodging program:

1. 19AQMM24F0667, awarded to Madison Hospitality Services, LLC against DOS IDIQ 19AQMM18D0137.
2. 19AQMM24F0674 awarded to Interim Homes, Inc. against DOS IDIQ 19AQMM18D0140.
3. 19AQMM24F0670 awarded to Executive Apartment Inc. against DOS IDIQ 19AQMM18D0141.

The 3 task orders support the lodging program which provides temporary long-term housing for foreign service personnel services as described in Section 3 on behalf of the Requiring Activity.

This Justification and Approval (J&A) authorize the extension of the current task orders for temporary lodging services for foreign service personnel under the Option to Extend Services clause (FAR 52.217-8) which was included in the IDIQ contracts, however, the percentage discount for each room type for the period of performance under 52.217-8 was neither included nor evaluated. (The contractor does not provide a price for the room types instead the contractors provide a percentage discount from the average daily Washington DC/VA per diem rate issued by GSA).



Although the IDIQs have expired, the task orders remain valid, and the terms and conditions of the IDIQs, including the ceiling amounts, continue to flow down to the task orders. The task orders are approaching the ceiling amounts awarded on the original IDIQ's and will require ceiling increases to the task orders to cover lodging through the extension period.

The extension is required to ensure uninterrupted provision of temporary lodging services while the revised follow-on requirement is competed and awarded. The extension period will be for six (6) months.

The vendor will be given the opportunity to submit a proposal for a new percentage discount off the GSA per diem rate for the extension period. The proposed percentage discount will be evaluated prior to a contract modification to the task orders.

*The program will closely monitor the increased contract ceilings on an individual contract basis to ensure each vendor does not exceed those ceilings during the 6-month extension period. Prior to any individual vendor exceeding their contract ceiling, the program office will direct employees to use another vendor under the lodging program.

SECTION 3: DESCRIPTION OF SUPPLIES/SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS

The vendors provide the following services:

1. Fully-furnished housing for long- and short-terms stays for DOS personnel assigned for training at the George P. Shultz National Foreign Affairs Training Center, Arlington Hall, 4020 Arlington Boulevard, Arlington, Virginia 22204; personnel on medivac orders to the Washington D.C. area; as well as any other housing needs in the Washington D.C. area requested by the Contracting Officer's Representative (COR).
2. Daily shuttle transportation services for DOS personnel between proposed residential properties and the listed training sites. Additional shuttle service will also be provided on request to and from DOS Headquarters, located at 2201 C Street, N.W. Washington, D.C. 20520, as requested for the first day of new employee orientation classes and periodically on special occasions, not to exceed two per incoming class.

[REDACTED]		
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]



SECTION 4: IDENTIFICATION OF THE STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION

☒ FAR 6.302-2 – Unusual and compelling urgency.

The extension will be executed under the Option to Extend Services clause (FAR 52.217-8) which was included in the IDIQ that flows down to the task orders.

SECTION 5: DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR THE NATURE OF THE ACQUISITION REQUIRES USE OF THE AUTHORITY CITED

To ensure continuity of operations and uninterrupted lodging support for government personnel, it is necessary to extend the existing lodging contracts for an additional six months. This extension will provide sufficient time to revise the contract requirements and conduct a thorough recompetete process.

Recent market research has identified opportunities to improve value for the government by removing unnecessary amenities from the lodging requirements. By refining the scope of services, we anticipate receiving more competitive offers and achieving cost savings in the next contract cycle.

The extension is essential to:

- Maintain stable lodging arrangements while the revised solicitation is developed and issued.



- Allow for a comprehensive review and adjustment of contract specifications to better align with actual needs.
- Enable a competitive acquisition process that maximizes value and efficiency for the government.

This temporary extension will not result in additional costs beyond the current contract terms and will ensure that government personnel continue to receive required lodging services without disruption.

SECTION 6. DESCRIPTION OF EFFORTS TO ENSURE THAT OFFERS WERE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE, INCLUDING WHETHER A NOTICE WAS OR WILL BE PUBLICIZED AS REQUIRED BY FAR SUBPART 5.2 AND, IF NOT, WHICH EXCEPTION UNDER FAR 5.202 APPLIES

[REDACTED] The RFP was cancelled to revise the SOW to remove some of the amenities currently listed that are no longer required as part of the requirement.

SECTION 7. DETERMINATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT IS FAIR AND REASONABLE

The contractor will be required to submit a proposal for the percentage discount to be applied to the six-month extension period. The Government will evaluate the percentage discount, historical pricing, and comparison to similar services. No extension will be executed unless rates are determined to be fair and reasonable. The results of this analysis will be documented in the contract file to support the extension.

By signing the justification, the Contracting Officer makes a determination that price to the Government is expected to be fair and reasonable.

SECTION 8. DESCRIPTION OF THE MARKET RESEARCH CONDUCTED (SEE PART 10) AND THE RESULTS OR A STATEMENT OF THE REASON MARKET RESEARCH WAS NOT CONDUCTED

To inform the acquisition strategy for the lodging program, a comprehensive market research effort was conducted. The research included the following components:

1. Non-Conventional Housing Providers:

Reviewed offerings from non-traditional lodging providers, such as corporate housing companies and extended-stay accommodations, to assess availability, amenities, and pricing structures relevant to the program's requirements.

2. US Government Long-Term Lodging Program (GSA):

Evaluated the General Services Administration's (GSA) long-term lodging solutions,



including contract terms, rates, and service levels, to determine suitability and potential cost savings for government personnel.

3. Local Market Lease Offerings:

Conducted a random sampling of lease offerings for furnished lodging within the target market. This included analysis of lease terms, monthly rates, included utilities, and flexibility for government-specific needs.

Findings:

- The market offers a range of non-conventional and conventional lodging options suitable for long-term stays, with varying levels of amenities and pricing.
- GSA's long-term lodging program provides a standardized, government-approved solution.
- Local, furnished lease offerings demonstrate competitive pricing and flexibility, though availability may fluctuate based on market conditions; new vendors would need a structured transition to scale up to meet the Department's demand.

SECTION 9. ANY OTHER FACTS SUPPORTING THE USE OF OTHER THAN FULL AND OPEN COMPETITION

Not applicable.

SECTION 10. LISTING OF THE SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION

[REDACTED]
interest in this acquisition. The RFP was subsequently cancelled to allow for revisions to the Statement of Work (SOW), specifically to remove amenities that the Government does not require as part of the lodging program.

SECTION 11. STATEMENT OF THE ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION FOR THE SUPPLIES OR SERVICES REQUIRED

The Government is actively revising the Statement of Work for the follow-on requirement. A new Request for Proposals (RFP) will be issued upon completion of the revised SOW. The extension under FAR 52.217-8 is limited to the minimum period necessary to complete the competitive process and award a new contract. No aspect of this extension will prejudice future competition.